

ZESA HOLDINGS (PVT) LTD



ACCOUNTING PROCEDURE MANUAL

RECEIVABLES MANAGEMENT



1. INTRODUCTION

1.1 Purpose and Structure of the Manual

The purpose of the Zimbabwe Electricity Supply Authority (ZESA) Accounting Procedures Manual is to detail the accounting policies and procedure adopted by ZESA. Compliance with the stated procedures is mandatory except with the specific agreement in writing of the Group Financial Controller.

1.1.2 Copies of this volume are held by the following ZESA offices:-

- i. Group Financial Controller;
- ii. Finance Directors of Subsidiary Companies

Copies of the sections of the manual are issued to employees who are concerned with those sections of each system.

1.1.3 The accounting procedures manual is divided into volumes each dealing with a particular accounting area. Although each volume is complete in itself reference may be required to other volumes to give an overall picture of related systems.

1.2 Scope and Objectives

1.2.1 The overall objectives of the accounting system are:-

- To ensure that assets and liabilities of ZESA are properly safe guarded, correctly valued and fully recorded in the books of accounts.
- To ensure that all transactions entered into by ZESA are recorded in the books of accounts.
- To ensure that the Board of Directors is provided with comprehensive, timely and reliable information on the financial performance of ZESA Group of companies as appropriate.

1.3 Changes and Improvements

The manual will be updated when necessary to reflect changes in accounting procedures. Suggestions and improvements to the manual should be conveyed in writing to the Group Financial Controller, whose permission must be obtained prior to any changes being effected.

1. DEFINITIONS

“account”	an account for services rendered by ZESA and its subsidiaries it include: - for electricity sales - for freight, substation construction, vehicle maintenance, rental services - for ICT services.
“arrears”	any amount due, owing and payable in respect of the above services not paid by due date.
“customer”	any person liable to the ZESA group for services render.
“defaulter”	any customer in arrears.
“due date”	the date on which the customer’s account become due and payable.
“owner”	the person in whom from time to time is vested the legal title to the premises.
“payment plan”	agreement made with customer with regards to arrears.

2. PURPOSE

The purpose of this policy is to ensure the effective and fair collection of revenue and general debts in accordance with documented processes and procedures.

3. CREDIT CONTROL AND DEBT MANAGEMENT PRINCIPLE

The credit control and debt collection policy is based on the following principles:-

- i. The credit control and debt collection measures must be instituted promptly, consistently, and effectively without exception and with the intention of proceeding until the debt is collected.
- ii. Credit control measures must be effective, efficient, economical and sustainable in the long term
- iii. The administrative integrity of ZESA group must be maintained at all times.
- iv. Customers must receive regular and accurate accounts that indicate the basis for calculating the amounts due.

4. MANUAL REGISTRATION OF CUSTOMERS

- 4.1 No registrations or addition to the customer database can be processed unless legal documentation acceptable to the Company Secretary has been produced in each instance; and
- 4.2 With respect to domestic customer registrations, where the customer is the owner of the property, the following documents must be produced:
 - i. certified copy of the identity document or passport;
 - ii. a letter from the transferring attorney confirming ownership or a copy of the Title Deed; and
 - iii. a duly signed ZETDC E22 form.
- 4.3 With respect to domestic customer registrations, where the customer is a tenant of the property the following documents must be produced:
 - i. certified copy of the identity document or passport;
 - ii. a signed lease agreement and letter of consent from the property owner guaranteeing the power bill payment.
 - iii. a duly signed ZETDC E22 form.
- 4.4 With respect to business customer registrations, the following documents must be produced:
 - i. the Certificate of Registration or Incorporation of the Company, Trust or Partnership
 - ii. list of directors, trustees or partners
 - iii. certified copy of the identity document or passport of one of the directors, trustees or partner who would open the account.
 - iv. proof of ownership of the property,
 - v. lease agreement and landlord consent including a guarantee on the power bill payment
 - vi. a duly signed ZETDC E22 form
- 4.5 Where there is change in change of ownership or occupancy of the property, the onus and obligation is on the customer to advise the respective entity within the ZESA group on such change.

5. ONLINE REGISTRATION OF CUSTOMERS

- 5.1 Online registration shall be allowed for customers to apply for electricity and ICT related services connection in the comfort of their home or office using any device with internet connectivity.
- 5.2 The facility will link to the online payment platform and customers shall be able to complete the transactions.
- 5.3 The documents required for manual registration for individual and business customers shall remain the same and may be attached to the online

application. Where there is need, a customer can be requested to bring in physical documents to the ZESA offices.

6. SECURITY DEPOSIT

- 6.1 Security deposit will be due and payable on enrolment of a new customer and subject to a review upon the movement of existing customer to a new premises as given in the Commercial Guidelines.
- 6.2 Security deposit will be reviewed each time a defaulting customer is disconnected for non-payment and an additional deposit may be requested if the initial deposit is insufficient to cover three months consumption costs.
- 6.3 Government accounts and those of accredited diplomatic missions may not be required to make a security deposit

7. ACCOUNT MANAGEMENT

- 7.1 All accounts shall be billed on a monthly basis.
- 7.2 Companies within the ZESA group will undertake to have the accounts posted to all customers.
- 7.3 However failure to receive or accept accounts does not relieve a customer of the obligation to pay any amount due and payable. The onus is on the customer to make every effort to obtain a copy of the account for payment.

8. MANUAL AND ONLINE PAYMENT OPTIONS

Entities with the ZESA Group must endeavour to establish a payment office network to ensure that, wherever practically possible, customers in receipt of accounts have access to a payment office within reasonable distance of their premises.

- 8.1 Every effort will be made to ensure that all payments, particularly from off-line business offices and third-party agents, are received within a maximum of 3 days of the original payment date. However, the onus is on the customer to make allowance for delays in respect of such payments.
- 8.2 Where any payment made to the ZESA group or its authorised agent by negotiable

instrument, is later dishonoured by the bank, ZESA group:

- a. shall regard such an event as default on payment and shall be dealt with as an arrear account;
- b. reserves the right to stop supplying the related service

8.3 the ZESA Group will create online payment platforms with all available technology partners to ensure customers can choose their preferred mode of payment including but not limited to mobile payments, internet banking and other facilities

9. PAYMENT ALLOCATION PRIORITIES

9.1 When part payments are received against an account with various bills outstanding, the ZESA group shall allocate such payments in terms of the following table of priorities as determined from time to time.

PRIORITY NO	BILL STATUS	SERVICE
1	Current	Additional Security Deposit
2	Current	Reconnection fees
3	Arrears	Electricity Charges
4	Current	Electricity Charges

10. PAYMENT ARRANGEMENT

In extreme situations, payment arrangement may be entered into, to allow a Customer to pay an outstanding account balance over a period of time. All such payment arrangements must be approved by management in line with approved authority limits.

10.1 In cases where debtors request for a payment arrangement to liquidate their arrears, the following criteria will apply:

- i. current accounts to be paid in full
- ii. monthly instalments as determined in sub-item (10.2) (a-d) below

10.2 The payment plan approval limits are as follows:

- a) Sales Manager - 3 months
- b) Commercial Manager – 6 months
- c) General Manager - up to 9 months
- d) Commercial Director - up to 12 months
- e) Managing Director - above 12 months

The Managing Director reserves the right to reduce the periods allowed for a specified period in order to improve cashflows as guided by the Finance Director.

- 10.3 All payment arrangement agreements (Deed) should be signed by the customer and the approving authority.
- 10.4 In all cases failure to adhere to conditions of the payment agreement will result in normal credit control procedures and all debt collection processes as provided for in this Policy may be taken.

11. DISCONNECTION FOR NON PAYMENT

All customers should settle their account within 14 days of issuance of the accounts. If an account remains unpaid after the due date, disconnection of supplies will be effected. Disconnection shall be in terms of SI 155 of 1988.

12. RECOVERY OF DEBT THROUGH PREPAYMENT METERS

Any electricity charges outstanding on an account when a prepaid meter is installed must be uploaded into the prepaid meter for recovery.

- 12.1 Domestic debt is recovered at a flat rate reviewed and approved from time to time by the Managing Director
- 12.2 Domestic debt exceeding \$1,000 may subject to the Commercial Manager's approval be collected through more aggressive measures such as payment plan or debt collectors.
- 12.3 Debt owed by business customers is recovered on an agreed payment plan as per the section Payment Arrangement.
- 12.4 For each subsequent purchase 50% of the amount rendered is channelled towards the repayment of outstanding debt.

13. LITIGATION

Litigation shall be instituted on customers that have failed to pay their bills and are 180 days in arrears.

14. BLACKLISTING AND TRACING AGENTS

In respect of untraceable clients, blacklisting should be done for these clients with both the RBZ credit reference bureau and private credit rating agencies. Tracing agents can also be involved to track down absconding customers together with our own efforts such telephone calls, emails and physical visits.

Blacklisting shall also be a step further to litigation after failing to obtain positive results from the process. This shall be applicable to both individuals and businesses (corporates, NGOs, institutions etc.)

15. JUDICIAL MANAGEMENT

In instances whereby litigation is not yielding positive results or may result in the closure of company and the company liquidation is deemed undesirable, the ZESA Group shall make an application to have the company placed under judicial management as per the Companies Act. After the judicial management process has failed to provide a positive outcome in terms of the performance of the company and most importantly payment of its bills, only then can the company be liquidated.

16. ALLOWANCE FOR CREDIT LOSSES (PROVISION FOR BAD AND DEBT)

Where uncertainty arises about the collectability of the amount included in the revenue (sales income) the uncollectable amount shall be determined according to guidelines given by the Finance Director.

IFRS 9 shall be taken into account for making provisions for bad and doubtful debts.

17. DEBT WRITE-OFF

Debt write off **is generally not permissible** in terms of the company policy. Should there be exceptional circumstances affecting a specific customer that warrant a write off, a schedule indicating the following shall be produced and submitted for approval by the Board

- a) debtor account number,
- b) the debtor's name and the physical address in respect of which the debt was raised
- c) the amount per account
- d) **strong justification** for intent to write off the amount

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POLICY					